

CURRENT AFFAIRS



NEWS ANALYSIS 14th WEEK 2016



UPSC

4th April to 10th April

GNXX CANA X14A EN16

PANAMA LEAKS

THIS WEEK ... WE DELIBERATE ON THE ISSUE

**PANAMA PAPERS
TAX HAVENS –OFFSHORE
ACCOUNTS - BLACK MONEY**

PANAMA LEAKS



- 11.5 million files
- 2.6 TB of Data
- Period from 1977 to 2015
- 29 billionaires in the list
- 140 politicians across the world
- With regard to offshore accounts

Magnitude of documents



Süddeutsche Zeitung

German Newspaper



They analysed them

MORE ABOUT PANAMA

- | | | |
|--|--|---|
| <ul style="list-style-type: none">▪ Country in Central America▪ Panama Canal connects Pacific & Atlantic Oceans | <ul style="list-style-type: none">▪ Capital is Panama City▪ Population ... 40 Lakhs | <ul style="list-style-type: none">▪ GDP ... \$ 47 billion▪ HDI ... High▪ Got independence from Colombia in 1903 |
|--|--|---|



MORE ON PANAMA PAPERS



- ✓ *Exposed internal operations of law firm Mossack Fonseca*
- ✓ *It includes information about several world leaders, celebrities and more than 2,10,000 companies in 21 offshore destinations*
- ✓ *One out of every two offshore companies are based in British Virgin Islands*
- ✓ *They are also called brass-plate companies*

- ✓ *Several world leaders and their kin are included in Panama papers.*
- ✓ *More than 500 Indians are also in the list.*





PANAMA LEAKS ...ACTION BY INDIA



*India immediately constituted a committee
comprising officials of*



**Foreign Tax
and Tax
Research
(FT and
TR) division**



वित्तीय आसूचना एकक - भारत

Financial Intelligence Unit - India

MINISTRY OF FINANCE, GOVERNMENT OF INDIA



Others



MOSSACK FONSECA

TOP 5 OFFSHORE DESTINATIONS

...AS PER PANAMA LEAKS



S. No.	Name of offshore destination	Population	Number of offshore companies
1	British Virgin Islands	28,000	1,13,648
2	Panama	40 Lakhs	48,360
3	Bahamas	3 Lakhs	15,915
4	Seychelles	1 Lakh	15,182
5	Niue	1,200	9,611



WHAT IS SO SPECIAL ABOUT OFFSHORE DESTINATIONS / TAX HAVENS?



1

Almost one third to half of the international trade takes place through these tax havens.

2

OECD estimates that the annual loss in corporate taxes is around 4% to 10% of total corporate tax i.e., from \$100 bn - \$250 bn every year.

3

They are primarily used for tax avoidance through transfer pricing and other mechanisms.

4

Primarily used as conduits for money laundering

5

These are no tax / low tax destinations

6

Home for Shell companies / Brass-Plate companies with nominee directors

7

Secrecy is the hallmark of operations

8

Possibility of hiding the beneficiary directors

9

Minimum disclosure requirements

10

Avenues for legalising black money



OECD

BETTER POLICIES FOR BETTER LIVES

British Virgin Islands

Caribbean Sea



WHAT IS SO SPECIAL ABOUT PANAMA AS OFFSHORE DESTINATION?



- 1** Companies can be set up within 24 hours / 48 hours for just \$ 800 to \$ 1200
- 2** Companies which are set up will not be taxed on income, dividend or capital gains earned outside Panama
- 3** They will provide nominee directors and the real beneficiaries / owners need not be revealed to the Panama authorities
- 4** Exchange of tax related information with any other country is not possible as it has not signed any tax treaty with any other country
- 5** Panama has got no official Central Bank and no foreign exchange controls
- 6** Several international banks operate from Panama, which make the transactions easier



INDIA IN PERSPECTIVE

INDIAN ACCOUNTS LEGAL / ILLEGAL?



In 2004, India brought **Liberalized Remittance Scheme (LRS)**

- As per this scheme, at present Indian citizens can remit up to \$ 2,50,000 every year abroad to purchase any type of the capital assets. Money which has gone through this route is legal.

In 2015, India brought Black Money Act to look at undisclosed income abroad

- Compliance window was given in 2015. Assets worth Rs. 4,147 crore were disclosed by paying 30% tax & 30% penalty.
- If any undisclosed asset is found now, it will attract 30% tax, 90% penalty and imprisonment upto 10 years.

One has to analyze these two aspects before coming to the conclusion, whether the revelations are legal / illegal.



HOW THE BLACK MONEY GOES OUT OF INDIA AND LEGALISED?



Hawala
route

+

Over-invoicing /
under-invoicing of
imports / exports

TAX HAVENS

Illegal money is legalized in
these countries



Part of it comes back
to India as FDI or FPI
(through Participatory
Notes route)



MEASURES TAKEN BY INDIA TO CONTROL BLACK MONEY CIRCULATION / MONEY LAUNDERING?



1

Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015 was brought in 2015

2

SIT on black money was commissioned, but not much headway

3

India is signatory to Multilateral Competent Authority Agreement (MCAA) of OECD, which will facilitate automatic exchange of tax information from 2017

4

Government proposed implementation of GAAR from 1st April, 2017, which will facilitate tax authorities to probe suspicious transactions from offshore Tax Havens

5

Govt. is most likely to review DTAA's with some countries, especially like Mauritius

6

As per section 94A of the Income Tax Act, it can deal with the jurisdictions that do not effectively exchange information. Only Cyprus has been notified. Govt. may notify some more countries

FINAL COMMENT



The steps taken by the Govt. are not sufficient to tackle the endemic problem of Black Money circulation in Tax Havens !

TAX AVOIDANCE

- It is legal
- It is minimizing tax liability by taking unfair advantages of the short comings in tax laws
- It is unfair, unethical
- Takes benefit of 100 poles in law
- No imprisonment

TAX EVASION

- It is illegal, criminal
- It is violating the tax laws
- It is fraud
- Deliberate concealment of material facts
- Imprisonment / penalty